HALCYON RIDGE HEALTH SYSTEM | ENTERPRISE AI ENABLEMENT ADVISORY

Engineering Portfolio Decision Brief

Capacity conflict and delivery tradeoffs: Wave 1 cannot proceed as planned without affecting ERP and EHR commitments

Document	HRHS-AI-08	Version 2.1	November 2026 (supersedes v2.0)	Prepared by: Reginal Campbell, PMP
Audience and purpose	Executive Sponsor (COO), CIO/CTO, ERP and EHR executive sponsors, VP Supply Chain, CFO delegate, AI Steering Committee. Show how a TPM Director turns a capacity conflict into a bounded, owned decision.
Decision status	HYPOTHETICAL SCENARIO. Assumes the ELT provisionally selected Option B; provisional allocations were submitted on Day 15 and failed validation on Day 18. Recommendation is conditional; no decision has been made.
Classification	FICTIONAL CASE STUDY. All organizational details, interviews, figures, dates, and findings are simulated scenario data, estimates, or labeled assumptions. No real engagement, approval, or result is claimed. Not a description of any real organization.

A. Decision required

> **DECISION STATEMENT**
>
> Decide by the Day 30 Steering Committee (G1) how Wave 1 proceeds now that 1,700 of the 2,600 specialist hours needed in Days 1 to 120 cannot be released without putting ERP phase 2 or the EHR upgrade at risk. Recommended: sequence Wave 1 (UC-01 first, UC-02 after ERP go-live) within Steering authority, while obtaining two facts that could justify an alternative.

Why the plan cannot proceed as approved [S/E]. The Day 15 prerequisite was met as designed: engineering managers submitted provisional named allocations. Validation against ERP and EHR release calendars, which Document 06 schedules for Days 15 to 20, is where the conflict surfaced. Replacement contractors can cover routine program work, but not conversion and cutover tasks that require HRHS-specific knowledge during release windows. The total hours still reconcile; the skills and timing do not.

Day	Event	Capacity state
15	Engineering managers submit named allocations covering all 4,600 specialist hours.	Provisionally committed
17	ERP program issues an updated conversion plan: item-master specialist needed until go-live (~Day 120). EHR cutover schedule confirms security architect through month 5.	Under validation
18	TPM Director reconciles the plans in the capacity ledger: 1,700 of 2,600 specialist hours needed in Days 1 to 120 are not available in the window. Conflict logged; Executive Sponsor and CIO/CTO notified the same day; Wave 1 spend beyond governance held.	Reclassified: unavailable in window
20 to 30	Shortfall quantified by skill (CP-1); recovery options prepared; decision at G1.	Validated: 900 hours available in window

Specialist skill, Days 1 to 120 [E]	Needed	Releasable	Shortfall
ERP item-master data	1,400	400	1,000
Integration engineering (iPaaS)	600	300	300

Specialist skill, Days 1 to 120 [E]	Needed	Releasable	Shortfall
Security architecture	300	0	300
Enterprise architecture	300	200	100
Total	**2,600**	**900**	**1,700**

B. Constraints and dependencies

Constraint	Detail	Effect on Wave 1
Engineering capacity	Specialist shortfall above; generalist capacity (6,800 internal + 2,600 contracted) is sufficient.	Item-master remediation for UC-02 cannot finish by Day 58.
Data	UC-02 contract matching depends on remediated item master for top 20 categories; UC-01 spend classification uses transaction and vendor data and needs ~300 ERP data hours.	UC-01 feasible now; UC-02 is not.
Architecture	Gateway not needed for Wave 1 (no PHI); needed before P-02 production or any PHI use.	No Wave 1 impact; P-02 acceleration depends on security architect from month 5.
ERP/EHR conflicts	ERP phase 2 go-live ~Day 120 (conversion freeze from Day 90); EHR cutover window through month 5.	Releasing specialists risks go-live dates, which only the ELT can move.
Security and integration	Security review of any new vendor still requires a security analyst (~60 hours), which is available.	Vendor options remain viable.
Vendor and procurement	Purchases above $100K need competitive quotes: 8 to 10 weeks [A].	External options start no earlier than ~Day 75.
Schedule and release	G3 for full Wave 1 slips ~90 days if nothing changes.	Tranche 2 evidence at Day 90 would be thin.

C. Recovery alternatives

Dimension	1. Sequence Wave 1	2. Reallocate engineering capacity	3. Purchase or externally source
What changes	Wave 1a: UC-01 pilot by Day 90. Wave 1b: UC-02 starts after ERP go-live; pilot ~Day 180.	Defer ERP phase 2 reporting module (~2,400 h) one quarter to release item-master specialist now [A-08].	Managed item-master cleansing service plus spend analytics SaaS with embedded classification, replacing custom configuration.
Delivery	Specialist need in Days 1 to 120 falls to ~900 h: fits.	Original Wave 1 schedule held if ERP confirms no go-live impact.	Reduces specialist need ~1,100 h; earliest start ~Day 75; UC-02 pilot ~Day 140.
Business value	UC-02 savings delayed ~4 months: about $0.1M to $0.25M less in FY2027, most of the Year 1 UC-02 benefit [E]. UC-01 value is enabling, not directly monetized.	No AI value delay; ERP reporting benefits delayed one quarter (value unquantified).	UC-02 delayed ~6 weeks vs original.
Engineering effort	Neutral; generalists continue foundations design.	ERP team re-plans release; rework risk on reporting design.	Vendor management and integration effort (~300 h generalist).
Architecture	None.	None for AI; ERP reporting architecture unchanged.	Wave 1 shifts toward a vendor-embedded pattern (Option A traits); needs exit plan (MC-10).

Dimension	1. Sequence Wave 1	2. Reallocate engineering capacity	3. Purchase or externally source
Cost [E]	Neutral; ~$0.2M of FY2027 spend shifts later.	Neutral to AI budget; possible ERP contractor extension (quote needed).	+$0.35M one-time, +$0.12M/yr; fundable from $0.75M contingency.
Main risks	Thin Day 90 evidence; momentum loss in supply chain.	ERP go-live slip; cross-program precedent.	Procurement delay; vendor terms; dependency.
Reversibility	High.	Medium.	Medium (one-year term).
Decision-maker	Steering Committee (within wave scope).	ERP executive sponsor with CIO/CTO; ELT if go-live moves.	CFO (contingency) with VP Supply Chain and CIO/CTO (architecture).

D. Conditional recommendation [J]

Adopt Alternative 1 now. It sits within Steering Committee authority, protects ERP and EHR go-lives, and is fully reversible. **Prepare Alternative 3 in parallel** by requesting quotes now, so that at Day 60 the Steering Committee can decide whether $0.35M from contingency buys enough schedule to justify it. **Do not pursue Alternative 2** unless the ERP program confirms in writing that deferring the reporting module has no go-live impact and the ERP sponsor accepts the deferral.

What this means for the Option B recommendation. Alternative 1 weakens the Day 90 evidence base, because UC-01 has no directly monetized benefit. The G4 decision should therefore weigh UC-01 accuracy, P-02 evaluation results, and the restated case. If none of the three alternatives restores a credible path by Day 60, the conditions in Document 03 for switching to Option A are met, and the program office will bring that recommendation forward.

Information required before final authorization	Owner	Due
ERP program impact assessment of reporting-module deferral	ERP Program Director	Day 25
Written specialist release dates after ERP go-live and EHR cutover	CIO/CTO	Day 25
Restated FY2027 benefits and tranche timing under Alternative 1	CFO delegate	Day 28
Quotes for managed cleansing and spend analytics SaaS	Procurement with VP Supply Chain	Day 45
P-02 interim evaluation status	VP Revenue Cycle	Day 28

E. Decision rights

Role	Authority in this decision
Executive Sponsor (COO)	Chairs the decision; accepts Wave 1 sequencing; escalates to ELT if cross-program priorities must change.
Engineering leadership (CIO/CTO, ERP and EHR directors)	Own capacity estimates, specialist assignments, and release dates; decide technical feasibility.
Product owner (VP Supply Chain)	Sets Wave 1a/1b priorities and acceptance criteria; owns the value case.
Architecture and security (EA, CISO)	Approve conformance of any vendor or design change; no one else may waive.
TPM Director (AI Program Director)	Surfaces the conflict, quantifies options, coordinates inputs, drafts the decision, escalates on the triggers below. No approval authority.
Finance (CFO delegate)	Validates restated benefits and contingency use.

F. Critical-path recovery plan

ID	Activity	Depends on	Owner	Input	Deadline	Exit criteria
CP-1	Confirm conflict and quantify shortfall by skill	-	TPM Director with EMs	Capacity ledger	Day 20	Shortfall table agreed by EMs
CP-2	ERP impact assessment of reporting deferral	CP-1	ERP Program Director	ERP release plan	Day 25	Written impact statement
CP-3	Re-plan Wave 1a (UC-01) scope and criteria	CP-1	VP Supply Chain	Data profiling	Day 27	Criteria approved by product owner
CP-4	Restate benefits and tranche timing	CP-3	CFO delegate	Revised schedule	Day 28	Finance-signed restatement
CP-5	Steering Committee decision	CP-2 to CP-4	COO	This brief	Day 30 (G1)	Decision logged (D-08a)
CP-6	Issue quote requests for Alternative 3	CP-1	Procurement	Scope summary	Day 24	Quotes received by Day 45
CP-7	Day 60 contingency decision on Alternative 3	CP-6	CFO with VP Supply Chain	Quotes, schedule gain	Day 60 (G2)	Decision logged (D-08b)
CP-8	Lock UC-02 start after ERP go-live	ERP go-live	ERP Program Director; TPM Director	Go-live confirmation	Day 120	Specialist working on UC-02

Escalation triggers. ERP go-live moves later than Day 135 (to ELT via Executive Sponsor); no written release dates by Day 25 (to CIO/CTO); UC-01 fails acceptance at G3 (Steering Committee to consider stopping Wave 1 and switching to Option A); contingency request exceeds $0.35M (CFO and ELT).

G. Executive decision record (illustrative)

Shows how the record would read if the Steering Committee adopted the recommendation. Hypothetical; no decision has been taken.

Field	Entry
Decision ID	D-08a (proposed)
Options considered	1 Sequence Wave 1; 2 Reallocate ERP capacity; 3 Purchase or externally source.
Decision taken	Pending. Recommended: Alternative 1, with Alternative 3 quotes obtained for a Day 60 decision.
Rationale	Protects ERP and EHR go-lives; within Steering authority; reversible; preserves Option B foundations.
Tradeoffs accepted	UC-02 savings delayed ~4 months (about $0.1M to $0.25M in FY2027); thinner evidence at G4.
Conditions	Written specialist release dates by Day 25; ERP go-live no later than Day 135; UC-01 passes G3.
Accountable owners	COO (decision); VP Supply Chain (Wave 1a/1b value); CIO/CTO (capacity); TPM Director (plan and escalation).
Review date	Day 60 Steering Committee (G2).